

the loan and ditch PMI. For example, if you buy a home with a 5 percent down payment and have seen a 15 percent increase in the home's value over time, you now owe less than 80 percent of what the home is worth, and you can get rid of PMI by refinancing into a new loan.

As with any refinancing, you should be careful about shifting your interest rate and the closing costs associated with the transaction. If you weigh all these factors and it's still worth ditching the PMI, you are off to the races.

A Quick Word on Loan Points and Lender Credits

A discussion about points and credits may come up with your lender. A point is 1 percent of your mortgage amount that is used as a prepaid expense to “buy down” your interest rate. You should typically buy points only if you're planning to be in the property for more than six years—but they can be difficult to pay for unless you're sitting on piles of cash. You do have a down payment and closing costs to take care of, after all.

Lender credits are similar to paying points, except the other way around. Your lender might offer to reduce your closing costs in exchange for a slightly higher interest rate. Typically, the lender will show you the break-even point (it will take X years for your lower interest rate to reach the equivalent amount of the credit), and it's up to you to decide which is more beneficial to your financial situation.

CHAPTER SUMMARY

- That was a lot of information and a whole lot of acronyms and abbreviations (PITI, ARM, and PMI...oh my!). To make things as simple as possible, we'll start our summary with this: If you're a typical first-time home buyer with a good credit score and some money saved for a down payment, you are probably going to skip all the confusing stuff and end up with a thirty-year fixed-rate conventional loan. You're welcome.
- A mortgage payment is typically made up of four parts: principal, interest, taxes, and insurance. Over time, the money that goes toward